Management Discussion and Analysis

For the fourth quarter and the year ended December 31, 2024

SCB X Public Company Limited

9 Ratchadapisek Road, Jatujak, Bangkok 10900 THAILAND

Website: www.scbx.com

Investor Relations Email: ir@scbx.com

CONTENTS

1. Executive Summary 2

2. Thailand's Economic Outlook 3

3. Management Discussion and Analysis 5

4. SCBX and Sustainability 28

IMPORTANT DISCLAIMER:
Information contained in this document has been prepared from several sources and SCB X Public Company Limited ("SCBX") makes no representation or warranty, expressed or implied, as to the accuracy, correctness, completeness, adequacy or freedom from defect of any kind of such information and SCBX, its affiliates, and their respective controlling persons, directors, officers, and employees shall have no liability whatsoever in relation to such information. Any views contained in this document are based on financial, economic, market and other conditions prevailing as at the date of this document. SCBX does not intend, and therefore shall not be held responsible, to update any and all the information contained in this document. However, SCBX reserves the right to amend this document at any time. Any forward-looking statements are subject to change as a result of market conditions and the final result may be different to that indicated. In addition, this document does not constitute or form part of, and should also not be construed as an offer, solicitation or invitation for any transaction whatsoever, and does not take into account any particular investment objectives, financial situation or particular needs of the recipient.

1. Executive Summary

2024 was another challenging year due to the Thai economy performing worse than anticipated. Various factors, including geopolitical conflicts and domestic structural issues, have hindered the economy's ability to gain momentum. Additionally, the high level of household debt has led to cautious spending and borrowing behaviors.

SCBX demonstrated resilience with a net profit of Baht 43.9 billion in 2024, slightly higher than the previous year. Despite economic challenges, the Company maintained balance sheet stability, ensured effective cost control and improved productivity. The main income growth was driven by 12 bps NIM rise yoy as SCB Bank enjoyed the full-year benefit of the policy rate hikes in 2023 and Gen 2 companies contributed positively, even though overall loan growth was muted. Fee income was down 5.6% yoy, primarily due to reduced bancassurance fees and lending-related fees, both impacted by unfavorable business sentiment. Cost control continued to be robust with overall CI ratio at 42.3%. Asset quality remained a key focus, with close monitoring, especially in the weak pocket of retail segment. Credit cost slightly declined from last year to 176 bps with main improvement from Gen 2 business. As such, Gen 2 business is back on track of profitability turnaround.

The Company has taken strategic steps to lay foundation for long-term growth as well as preserve capital. Firstly, we have entered into the Share Purchase Agreement to acquire 100%-stake in Home Credit Vietnam, a leading consumer finance company in Vietnam. This deal is still subject to regulatory approvals. Secondly, we decided to exit Purple Ventures, a portfolio company that operates loss-making Robinhood food delivery platform. While we incurred Baht 1.5 billion one-time net divestment loss during the year, such strategic move will be positive for the group's profitability going forward with an option for up to Baht 1.6 billion profit sharing if Purple Ventures turns profitable under the new owner. Lastly, we have formed partnership with Kakao Bank and WeBank, both leading digital banks in the region, to apply for the Virtual Banking license in Thailand. The outcome of the license application is expected by around mid of 2025.

For 2025, SCBX has established performance targets against the backdrop of soft economic recovery and one policy rate cut. These targets include loan growth of 1-3%, net interest margin of 3.6-3.8%, net fee income growth of 2-4%, cost to income ratio of 42-44%, and credit cost of 150-170bps.

2. Thailand's Economic Outlook

In 2024, the Thai economy grew by 2.5%, accelerating from 2.0% in the preceding year driven by robust tourism. Additionally, as foreign tourist arrivals rebounded to 35.5 million, along with government measures boosting domestic tourism, this would support strong private consumption. In the second half of 2024, the Thai economy was supported by additional tailwinds from the export sector benefiting from the electronics upcycle and accelerated global demand due to concerns over potential U.S. tariff hikes on imported goods coming in 2025. Furthermore, government spending picked up from expedited budget disbursement and government cash handouts to vulnerable groups, further bolstering domestic consumption.

Despite these positive developments, the Thai economy still faced downward pressures from a sluggish manufacturing sector, high inventories, and subdued private investment, particularly in construction activities. Commercial vehicle purchases declined amid high indebtedness and financial institutions' stricter standards for loans to vulnerable households and businesses. **Headline inflation in 2024 was registered at 0.4%, below the target range**, largely due to soft demand-side pressure and government measures to delay domestic energy price increases throughout the year.

SCB EIC forecasted in December 2024 that the Thai economy will grow at a slower pace of 2.4% in 2025, driven by intensifying trade protectionism under the second Trump administration, putting Thai export to the U.S. which has a surplus at risk. Additionally, a renewed trade war could drive more goods from China to Thailand, further exacerbating the competitiveness of Thai products in both domestic and global markets. As a result, Thai export growth is expected to slow, particularly in the second half of the year, when U.S. tariff hikes take full effect. Private investment is likely to rebound in the wake of a substantial rise in investment plans already approved by Thailand's Board of Investment. However, construction investment is expected to remain subdued. Investment in commercial vehicles will take time to recover from tightened credit conditions, and manufacturing investment will continue to encounter challenges from the influx of Chinese imports and subdued domestic demand.

Looking ahead, a limited recovery in household income together with multiple risks and household debt problems mean that the Thai economy will improve only slowly, constrained by weak private consumption. Further monitoring of the quality of retail lending is warranted amid financial institutions' cautious credit stance. The additional debt relief measures introduced at the end of 2024 aim to reach groups of vulnerable individuals that have reasonable prospects to settle their loans. The success of such measures, however, would largely depend on borrowers' income recovery. **Headline inflation in 2025 is projected to remain stable, near the lower bound of the inflation target range at 1%.**

In 2024, the Thai policy interest rate was reduced from 2.5% to 2.25%. A further cut at least once toward 2% is expected in the first half of 2025. The additional rate cuts will depend on the need to utilize policy space to cushion rising economic risks stemming from internal vulnerabilities and external challenges. Moreover, the rate cut could help ease the debt burden and partially alleviate the impact of tight financial conditions on economic activity.

The Thai baht is expected to weaken during the first half of 2025 due to a strengthening U.S. dollar, supported by robust U.S. economic growth and widening interest rate differentials. However, the baht is projected to appreciate in the second half of the year, driven by factors including Federal Reserve rate cuts, declining global oil prices, rising gold prices, and the return of capital inflows to emerging market economies. By year-end, the exchange rate is estimated to range between 33.50-34.50 baht per U.S. dollar.

3. Management Discussion and Analysis

For the fourth quarter and the year ended December 31, 2024

2024 operating performance

In 2024, SCBX reported a consolidated net profit of Baht 43.9 billion, a slight 1.0% increase from the previous year. This increase was primarily due to an increase in net interest income, driven by an improved net interest margin (NIM) and lower expected credit losses. However, these gains were offset by one-off items from the Robinhood transaction, subdued fee income mainly from bancassurance and lending-related fees, and reduced investment income due to mark-to-market adjustments in the investment portfolio.

In 2024, the Group effectively controlled costs, achieving a cost-to-income ratio of 41.7%, excluding the impact from the Robinhood transaction. Expected credit losses (ECL) decreased year-on-year to Baht 42.6 billion, equivalent to 176 basis points of total loans. This decline was primarily driven by improved ECL at CardX due to de-risking in the P-loan segment, while the ECL at the Bank slightly decreased due to the absence of additional provisions recorded in 2023.

The Group's loan growth declined slightly by 1.0% year-on-year, with reductions across all segments at SCB Bank and a decrease at CardX, as the focus shifted to quality customers. Meanwhile, loans at AutoX and MONIX continued to grow, albeit at a slower pace. Asset quality remained relatively stable at 3.37%. The Group continued to proactively manage NPLs through effective sales and write-offs, while maintaining a high coverage ratio of 158.0%.

In 4Q24, SCBX achieved a record high net profit of Baht 11.7 billion for the year, an increase of 6.5% yoy and 7.0% qoq. The yoy growth was primarily driven by higher investment and trading income, increased net fee income from wealth business and reduced operating expenses. For qoq comparison, NIM softened 3 bps given a policy rate cut in the quarter. Fee income on the other hand slightly improved 2% driven by wealth business. Investment income swang from net loss to net gain of Baht 1.2 billion driven primarily by investment gain in SCB10X's portfolio, especially investment in digital asset-related startups. Credit cost fell 18 bps qoq as overall asset quality, while still challenging, was in line with our expectation.

2025 SCBX Strategy: Driving Growth, Efficiency, and Long-Term Value

SCBX remains committed to its vision of becoming the "Most Admired Regional Financial Technology Group." Building on our robust foundation, we have refined our strategic priorities for 2025 to focus on driving growth, enhancing operational efficiency, and creating long-term value for our stakeholders. These priorities are organized into four key pillars:

1. Driving Growth in Existing Businesses

- Our focus for 2025 is on scaling our core businesses with a focus on debt collection to drive credit cost improvement while maintaining marginal loan growth and capturing fee income opportunities.
- **Strengthening SCB Bank foundation as a core earnings contribution for the Group:**
    - Improving credit cost through end-to-end portfolio quality enhancements and enhancing efficiency in collection processes as well as leveraging the government's debt restructuring program "You Fight, We Help" to protect downside risks from low-income segments.
    - Driving fee income growth, particularly in the wealth management segment, by offering new products and segments to fulfill all dimensions of customers' wealth aspirations and needs and using both conventional and AI tools to increase RMs (Relationship Managers) productivity
    - Adopting AI to optimize costs and unlock additional revenue streams.
- **Maximizing Contributions from Gen 2 Businesses:**
    - **CardX:** Focusing on profitability turnaround by continuing to improve collection efficiency, enhancing customer engagement to drive fee income through higher credit card utilization, and prudently growing the loan book. CardX should be a key contributor to earnings for Gen 2 business this year.
    - **AutoX:** Continuing business expansion with a strategic shift toward a lower-risk portfolio mix while capturing additional revenue streams from fee income, such as insurance sales. Cost efficiency remains at the heart of AutoX to drive low CI ratio and targeted ROA.
    - **MONIX:** Sustaining disciplined growth through prudent credit management and portfolio optimization process. MONIX will further refine credit scoring model to capture the best risk-reward profiles of customers and maximize bad debt recovery by proactive debt restructuring programs.

2. Enhancing Cost Control and Operational Efficiency

We recognize the importance of disciplined cost management in driving sustainable value. We put stringent cost control as the heart of our group-wide operations. Key initiatives in 2025 include:

- **Streamlining Operations with AI:** Leveraging AI to enhance operational efficiency and drive productivity gains, ultimately reducing the cost-to-income (CI) ratio while unlocking new revenue opportunities. At present, we are implementing over 230 AI initiatives with group-wide impact cutting across all functions from front to back office.

3. Strategic Growth Initiatives and Asset Rationalization

SCBX will take a disciplined approach to managing our portfolio and seizing new opportunities for growth.

- **Investments in Strategic Businesses:**
    - **Home Credit Vietnam (HCVN):** We continue to work with regulators to obtain approvals to acquire HCVN. We believe HCVN will deliver meaningful profit contributions, with potential upside from increased scale and more competitive funding cost.
    - **Virtual Bank:** We are in the process of applying for a Virtual Bank license. Upon approval, we aim to partner with our consortium members to develop a cutting-edge, digital-first banking platform. Our vision is to advance financial inclusion and capture new market opportunities, setting new benchmarks in digital banking innovation.
- **Asset Rationalization:** SCB 10X's portfolio, along with select portfolio companies, will be strategically evaluated to maximize returns and preserve capital.

4. Driving Group Synergy and Building a Foundation for the Future

Our long-term growth depends on maximizing synergies across the Group and building capabilities to sustain cost advantage as well as be ready for future expansion when opportunity presents itself.

- **Group-Wide AI Adoption:** To be AI-first organization, SCBX has been implementing various AI initiatives to enhance work efficiency. Group Data Zone (GDZ) which is group-wide data infrastructure under DataX has become fully operational to accelerate AI adoption at SCBX. At the end of 2024, data with necessary consents from customers has been onboarded to the GDZ. There are over 4,000 data attributes per customer ranging from customer profile, behavioral data to early warning signals. In terms of GenAI deployment, SCBX has launched Typhoon, a Thai-language Large Language Model (LLM), trained in-house on open-source base LLM. This initiative allows flexibility for SCBX to scale Thai-language GenAI use cases at significantly lower cost than off-the-shelf solutions and with high degree of customization. Currently, our AI initiatives can be categorized into 4 groups as follows:
    - **Cost Efficiency:** This group focuses on enhancing operational efficiency and optimizing processes. The key initiatives include the Collection Strategy and Optimization, Balance Sheet Optimization, and the Enhanced Credit Risk Management Process. Meanwhile, the portfolio company has implemented Streamlined Risk Management through the use of Copilot and automation technologies.
    - **Revenue Uplift:** This group focuses on leveraging AI to help generating more revenue. Key initiatives include the Target Marketing and Sales AI Assistant implemented across products for retail customers by the portfolio companies, as well as the Intelligent Promotion Assistant developed by the portfolio companies.

- **Customer Services:** This group aims to enhance customer experience and support using AI-driven solutions. Portfolio company has introduced the AI-Augmented Collector Agent Call Assessment and has implemented AI-Enabled Investment Analysis.
- **Regulatory Compliance:** This group ensures adherence to regulatory requirements through advanced AI tools. Portfolio company focuses on Market Conduct compliance and employs Market Risk and News Monitoring AI tools.

- **Strengthening PointX as Group loyalty platform:** PointX, launched in Nov-24, will be the key tool to grow customer lifetime value and build group-level loyalty, by transforming the ways SCBX engages and nurtures customers, such as using AI to offer more personalized recommendations and having more exclusive perks for most active users. PointX will prioritize on long-term value creation and sustainable growth, ensuring the platform remains cost-effective.

Portfolio companies update

2024 Performance and 2025 Action Plans

SCB Bank

In 2024, Siam Commercial Bank (SCB Bank) advanced its "Digital Bank with Human Touch" strategy by integrating advanced digital technologies with personalized customer service. The Bank leveraged data and AI to swiftly analyze customer needs, delivering tailored solutions through stable and secure digital platforms. This approach contributed to a 15% growth in core wealth revenue.

Despite challenges such as high household debt and global geopolitical uncertainties, SCB Bank achieved its revenue and net profit targets. Net interest income expanded year-over-year, driven by a high-interest-rate environment, though this was partially offset by loan contraction and a flight to quality.

The Bank maintained a cost-to-income ratio of 38.5%, reflecting outstanding productivity through lean operations, cost control measures, and the adoption of digitalization, automation, and AI. This efficiency was further demonstrated by effective asset quality management and stringent risk control.

In 2025, the Bank will continue to implement its **"Digital Bank with Human Touch"** strategy, positioning itself as a **"Universal Digital Bank that leads in wealth management while providing seamless and integrated service experiences across all channels for its customers."** These targeted actions for 2025 are designed to reinforce SCB's position as a leading digital bank, driving sustainable growth and delivering value to its customers.

1. **Enhancing Wealth Management Services:** The Bank plans to expand fee income by adopting a customer goal-driven advisory framework, boosting relationship manager productivity, and targeting existing SME business owners.

2. **Maintaining Credit Portfolio Quality:** The Bank will prioritize high-quality corporate loans in strategic industries and optimize its retail loan portfolio. For mortgages, SCB Bank aims to sustain leadership with top developers while pursuing selective growth in other segments. In auto loans, the focus will be on stabilizing the portfolio by winding down low-quality loans and targeting selective growth and new loans in major brands and premium segments.
3. **Improving Collection Efficiency and Recovery:** SCB Bank intends to expedite repossession and litigation processes, leveraging AI and data analytics to enhance underwriting, collection, and recovery efforts.
4. **Enhancing Cost Efficiency:** The Bank aims to boost employee productivity and ensure prudent management of IT costs and investments.
5. **Strengthening Core Capabilities as an AI-First Bank:** SCB Bank is committed to embedding AI across operations, building a robust data foundation, advancing process automation, and modernizing core banking systems to improve efficiency and service delivery.

CardX

In 2024, CardX delivered steady growth in net profit as the year progressed, reaching positive net profit in the second half of the year. Despite a challenging consumer credit outlook — reflected in weak consumer spending, high household debt, high NPLs, and low debt servicing ability —the Company maintained its bottom-line momentum by achieving significant reduction in operating expenses and almost doubling recovery income from delinquent loan. In response to the challenging environment, CardX adopted a cautious approach by tightening underwriting criteria for new bookings and managing exposure to high-risk customer segments. While this strategic approach reduced the loan balance, it resulted in a continuous improvement in asset quality, leading to the performance turnaround.

Throughout the year, CardX strengthened its foundation across key areas: risk management, collections, technology, and operations. The Company also integrated artificial intelligence (AI) into various business functions, including underwriting models and collection assessment. We deployed AI-powered chat bots and voice bots to assist in customer service and debt collection, which has led to significant cost savings. Furthermore, risk management capabilities underwent an end-to-end transformation, leading to improved recovery performance and other positive outcomes. During the fourth quarter, the Company executed credit card greenfield deployment on the new system to support technological readiness and to enhance customer service capabilities in the future.

Heading into 2025, CardX strives to maintain its positive profitability momentum. CardX will focus on reinforcing its position in the credit card business by boosting card spending and increasing credit utilization. Additionally, CardX will expand its Instalment Payment Plan (IPP) partnerships to drive growth and enhance customer engagement. These will translate into higher fee income for CardX.

CardX also aims to transform its collection process by leveraging data analytics and adopting a segmentation-based approach. This will include enhancing capabilities, workflows, and systems to improve collection effectiveness and reduce credit costs. Through these initiatives, CardX seeks further reduction in credit costs while maintaining a cautious underwriting approach and ensuring risk management and collection effectiveness remain robust.

The Company continue the plans to strategically reduce its exposure to personal loans, focusing on maintaining a balanced and profitable loan portfolio. Furthermore, CardX will continue its efforts to optimize operating expenses (OPEX). Since 2Q24, over 40 cost optimization initiatives have been proposed and many already implemented, all aimed at driving OPEX reduction.

By focusing on these strategic priorities, CardX remains committed to delivering exceptional products and services, operational efficiency, and maintaining its leadership in risk management and collection excellence. These initiatives will contribute to the Company's profitability and sustainable growth in 2025.

AutoX

In 2024, the auto title loan industry continued to grow, though at a slower pace than the previous year, with early double-digit growth by market demand. However, AutoX is working to rebalance against higher credit risks stemming from a cautious macroeconomics environment.

AutoX prioritized enhancing the productivity and efficiency of its 2,013 branches while maintaining a disciplined approach toward operating expenses through partnership programs and optimizing utilization of staff. AutoX achieved a total loan book value of Baht 53 billion, representing a 56% year-on-year increase. By focusing on the acquisition of new, quality customers and engaging early with existing ones, AutoX limited its non-performing loan ratio to just 1.4% and continued to contribute profit to the SCBX Group.

In addition to title loans, AutoX expanded its business into insurance brokerage services, launching a nationwide campaign advertised on billboards in branches. This new offering was the first in the market to offer motor insurance under a 0%/24-month installment plan without requiring a credit card.

In 2025, AutoX will pursue a sustainable growth strategy by shifting toward a high-quality portfolio that will include more land title and agricultural vehicle title loans to ensure credit quality. By taking a disciplined and proactive approach toward collections, AutoX aims to maintain high asset quality. AutoX will focus on boosting non-interest income contributions from insurance fees by enhancing branch capabilities for both life and non-life insurance sales. Lastly, AutoX aims to continue increasing cost efficiency and productivity at both branches and back-office operations by implementing AI and automation that will streamline daily operations and reduce routine workloads.

MONIX

In 2024, MONIX reinforced the F.I.R.E. ecosystem by launching a “FINNIX Bonus” feature, designed to expand the nano-loan customer base through a referral incentive program for current customers. In addition, MONIX continued to provide free financial knowledge to help Thais to improve their financial literacy by introducing a “Money Wise, Happy Life” online classroom. This supports our ecosystem's Empowerment pillar and aligns with the Responsible Lending Policy of the Bank of Thailand.

MONIX continues to grow its register user base to over 5 million by implementing relevant campaigns such as “Confession of Loan Sharks” and other targeted initiatives. This strategic focus, combined with a 360-degree marketing approach, enabled the company to effectively reach underserved customer segments nationwide, with particularly strong traction in key provincial cities.

This momentum translated into exceptional results: 35% year-on-year loan growth, robust profitability, and efficient management of credit costs and operational expenses, even amidst a challenging credit environment. MONIX’s achievements were further underscored by three prestigious awards, highlighting its excellence in creative business, future enterprise leadership, and financial influence.

Looking ahead to 2025, MONIX is committed to driving further growth by expanding its high-quality loan portfolio, enhancing product and service offerings, and maintaining effective cost controls. The company aims to solidify its position as the leading nano AI-lending platform in Thailand and achieve sustainable growth in the country’s digital credit market.

InnovestX

In 2024, navigating a challenging year marked by domestic economic instability, InnovestX remained steadfast in its commitment to enhancing the investor experience. We focused on:

- **Elevating investor experience**: We continued to refine our powerful trading tools, equipping them with comprehensive data and insights pooled together in our investment content hubs. This enriched platform caters to diverse investor preferences by offering an expansive product range that includes offshore investments such as stocks, mutual funds, private funds, and structured notes.
- **Strengthening institutional relationships**: We solidified our position as a leading institutional brokerage house through strategic partnerships, unparalleled expertise, and strong client relationships.
- **Leveraging AI for enhanced advisory and services**: Our Group’s advanced AI technology has significantly improved the efficiency and accuracy of our investment insights, empowering our clients to make informed decisions through AI-powered earnings briefs. Additionally, we have developed AI-assisted digital relationship managers to enhance customer service, offering faster, more accurate, and human-like interactions.

As a result of these strategic initiatives, InnovestX achieved strong top-line growth, particularly in offshore-underlying products, while maintaining operational efficiency and strengthening our profitability.

Despite the uncertain investment climate, InnovestX is poised for continued growth in 2025. We aim to progress by enhancing our end-to-end sales and services, providing personalized advisory, particularly for global investments, and continuously upgrading our trading tools. By prioritizing customer satisfaction and delivering exceptional service and support, we will strengthen our market position. Additionally, we will focus on improving operational efficiency to achieve higher, sustainable profitability.

SCB 10X

The market and economic conditions in 2024 showed signs of recovery compared to 2023, especially in blockchain and digital assets. Our investment activities increased from the previous year, ending with a total of 14 investments. Exit activities doubled in 2024, with four exit events. Overall, SCB 10X's investment portfolio stood at a fair value of US$483 million as of the fourth quarter of 2024.

In 2024, SCB 10X pursued its strategic priorities by: 1) Expanding our venture capital business with the launch of our second corporate VC fund (CVC), which focuses on AI and deep tech, 2) Transforming our venture building business into SCB 10X Tech Labs and SCB 10X R&D, and 3) Continuing to expand our regional presence and venture footprint. Under our first priority, we not only launched the new CVC fund but also expanded our network in AI by working closely with specialized funds and industry experts in this field. This led to successful deployment in seven AI companies, out of a total of 14 investments with 50% of the deals were co-invested with tier-1 investors.

Under our second strategic priority, SCB 10X successfully pivoted its venture building operations by establishing two distinct units, SCB 10X Tech Labs and SCB 10X R&D. SCB 10X Tech Labs focuses on providing in-depth technical due diligence to the investment team, adding value to portfolio companies via technical support, as well as showcasing our tech capabilities. A milestone achievement of SCB 10X Tech Labs was the launch of Rubie Wallet, a secure digital payment solution for QR transactions based on conversion of USD and THB stablecoins, at Ethereum Foundation's DevCon event in November 2024 under a regulatory sandbox approved by the Bank of Thailand and Thai SEC. At SCB 10X R&D, the team led AI advancements within the SCBX Group, with such highlights as the release of Typhoon, a series of open-source Thai large language models (LLMs), as well as collaborations and research publications with leading institutions like Stanford University and the University of Cambridge.

As we venture into 2025, SCB 10X will continue our Moonshot Mission, with the aspiration to be the leading investor in Southeast Asia and a tech leader in AI & blockchain. We are looking forward to 2025, continuing as the disruptive technology speedboat of SCBX Group by investing through SCB 10X Venture Capital, exploring new innovations via SCB 10X Tech Labs, and experimenting with advanced technologies at SCB 10X R&D.

2025 Guidance

The Thai economy is expected to grow at a rate of 2.4% by 2025, impacted by Trump 2.0's trade barriers, with a high risk of US import tariffs of Thai exports, including electronics, automobiles, machinery, and computers. Additionally, China's overcapacity will pressure the competitiveness of Thai products, leading to a slowdown in exports. Private investment is expected to recover modestly. The company aims for loan growth of 1-3%, aligning with economic growth. The net interest margin (NIM) is projected to be between 3.6-3.8% based on our base case for one 25 bps policy rate reduction in 2025. Key variables determining the company's NIM will depend on growth of high-yield loans in Gen 2 and the magnitude of debt restructuring the company needs to enter into. Net fee income growth is expected to be 2-4%, mainly driven by the wealth business, a recovery in bancassurance, and increased fee contributions from Gen 2 and Gen 3 businesses.

The cost-to-income ratio is targeted to be between 42-44%, with a continued focus on cost discipline despite expenses related to strategic projects in Cyber Security, Cloud COEs, and ongoing IT spending. The credit cost is projected to be between 150-170 bps, factoring in proactive measures, a solid risk management framework, effective credit cost management practices, and a strong collection strategy. This guidance may change due to economic uncertainties and unforeseen future events.

2025 Targets	**SCBX** (Consolidated)
Loan Growth	1-3%
Net Interest Margin (NIM)	3.6-3.8%
Net Fee Income Growth	2-4%
Cost to Income Ratio	42-44%
Credit cost (bps)	150-170bps

Note: This 2025 target excludes the impact of "You Fight, We Help" debt relief scheme.

SCBX Performance in 4Q24 and 2024 (consolidated)

SCBX reported an audited consolidated **net profit** of Baht 43,943 million for 2024, reflecting a year-over-year increase of 1.0% from Baht 43,521 million in 2023. This growth was mainly driven by higher net interest income (NII) due to improved net interest margin (NIM) and lower expected credit losses. However, the increase was partially offset by one-off items from the Robinhood transaction, subdued fee income, and reduced investment income.

In the fourth quarter of 2024, net profit rose by 6.5% yoy to Baht 11,707 million. This increase was mainly driven by higher investment income, increased net fee income, and lower operating expenses, despite a decline in net interest income.

Compared to 3Q24, net profit rose by 7.0%, mainly due to lower expected credit losses, increased investment income, and higher net fee income. However, this growth was partially offset by higher operating expenses and a decline in net interest income.

Table 1. Net Profit and Total Comprehensive Income

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Net interest income	129,424	124,682	3.8%	32,452	-0.6%	-2.9%
Fee and others	40,657	43,083	-5.6%	10,166	1.8%	1.5%
Investment and trading income	2,293	3,338	-31.3%	1,211	NM	NM
Total operating income	172,373	171,103	0.7%	43,829	3.6%	3.0%
Operating expenses	72,977	71,781	1.7%	18,702	6.2%	-4.2%
Pre-provision operating profit	**99,397**	**99,323**	**0.1%**	**25,127**	**1.8%**	**9.1%**
Expected credit loss	42,594	43,600	-2.3%	9,799	-10.7%	5.0%
Income tax	12,224	11,955	2.3%	3,336	27.0%	26.9%
Non-controlling interests	636	247	157.3%	286	84.9%	289.1%
Net profit (attributable to shareholders of the Company)	**43,943**	**43,521**	**1.0%**	**11,707**	**7.0%**	**6.5%**
Other comprehensive income (loss)	(226)	51	NM	(736)	NM	NM
Total comprehensive income	**43,717**	**43,572**	**0.3%**	**10,970**	**-5.8%**	**-6.1%**
ROAE	9.1%	9.3%		9.7%		
ROAA	1.3%	1.3%		1.4%		

NM denotes "not meaningful"

Income statement for the fourth quarter and the year ended December 31, 2024

(Consolidated basis)

Table 2. Net interest income

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Interest income	**169,320**	**161,121**	**5.1%**	**42,572**	**-0.9%**	**-2.0%**
Loans	140,053	132,719	5.5%	35,346	-0.5%	-0.3%
Interbank and money market	9,949	9,824	1.3%	2,635	-1.6%	-11.0%
Hire purchase	9,259	10,114	-8.5%	2,221	-3.8%	-9.3%
Investments	9,511	8,160	16.5%	2,301	-1.9%	-7.2%
Others	548	304	80.5%	69	-24.5%	-36.1%
Interest expenses	**39,896**	**36,439**	**9.5%**	**10,120**	**-2.0%**	**1.0%**
Deposits	20,016	15,349	30.4%	5,240	0.8%	10.6%
Interbank and money market	3,968	4,969	-20.1%	902	-15.8%	-14.6%
Borrowings	4,024	3,991	0.8%	987	-7.1%	-17.5%
Contribution to the Deposit Protection Agency & FIDF	11,315	11,710	-3.4%	2,835	1.1%	-2.6%
Others	573	420	36.7%	156	-17.8%	29.7%
Net interest income	**129,424**	**124,682**	**3.8%**	**32,452**	**-0.6%**	**-2.9%**

- **In 2024, net interest income** rose by 3.8% yoy, reaching Baht 129,424 million. This increase was driven by a 12 basis points expansion in the net interest margin (NIM), despite a 1.0% yoy decrease in loan volume.
- **In the fourth quarter of 2024,** net interest income declined by 2.9% yoy to Baht 32,452 million. This decrease was due to a reduction of 8 bps in NIM following an interest rate cut in October 2024, along with a 1.0% yoy drop in loan volume.
- **Compared to 3Q24**, net interest income saw a slight decrease of 0.6%, mainly driven by a 3 bps reduction in NIM and a 1.3% qoq drop in loan volume.

Table 3. Yield and cost of funding

Unit: Percentage	2024	2023	4Q24	3Q24	2Q24	1Q24	4Q23
Net interest margin	3.85%	3.73%	3.88%	3.91%	3.90%	3.83%	3.96%
Yield on earning assets	5.03%	4.81%	5.09%	5.14%	5.08%	4.99%	5.15%
Yield on loans	6.18%	5.95%	6.21%	6.21%	6.12%	5.99%	6.21%
Yield on interbank and money market	2.01%	2.05%	2.18%	2.45%	2.40%	2.49%	2.59%
Yield on investment	2.10%	1.75%	2.09%	2.00%	1.91%	1.90%	2.08%
Cost of funds[1/]	1.43%	1.31%	1.46%	1.49%	1.41%	1.40%	1.42%
Cost of deposits[2/]	1.27%	1.08%	1.31%	1.31%	1.26%	1.24%	1.22%

Note Profitability ratios use the average beginning and ending balances as the denominator.

[1/] Cost of funds = Interest expenses (including contributions to DPA & FIDF) / Average interest-bearing liabilities.

[2/] Cost of deposits includes contributions to the Deposit Protection Agency and FIDF fees.

In 2024, the net interest margin expanded by 12 bps yoy to 3.85%, primarily due to increases in investment yield (+35 bps) and loan yield (+23 bps). This positive trend occurred despite a rise in funding costs (+12 bps). The higher yields were driven by an upward trend in lending rates from the interest rate hike cycle, which was partially offset by an interest rate cut in October 2024. Additionally, the increased volume of high-yield loans from the Gen 2 business, disciplined pricing on new bookings, and a loan optimization strategy contributed to the increase. The rise in the cost of funds was mainly due to higher deposit costs.

In the fourth quarter of 2024, the net interest margin decreased by 8 bps yoy and 3 bps qoq. This decline was driven by lower yields on interbank. For a detailed breakdown of loan yields by segment/product, please refer to Additional Financial Information on page 26.

Table 4. Fee and others

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Transactional banking *	12,432	12,251	1.5%	3,214	2.1%	3.1%
Lending related **	6,137	6,870	-10.7%	1,530	-6.1%	-3.1%
Wealth management ***	8,912	7,597	17.3%	2,504	7.6%	34.7%
Bancassurance/Insurance	9,661	11,490	-15.9%	1,745	-28.5%	-13.4%
Others	3,514	4,875	-27.9%	1,173	167.6%	-18.8%
Fee and others	**40,657**	**43,083**	**-5.6%**	**10,166**	**1.8%**	**1.5%**

* Including transactional fees, trades, and FX income

** Including loan-related and credit card fees

*** Including income from fund management, securities business, and others

- **In 2024, fees and other** decreased by 5.6% yoy to Baht 40,657 million. This decline was mainly due to lower fees from bancassurance, lending-related activities, and other fees. However, the decrease was partially offset by an increase in wealth management fees and transactional fees.
- **In the fourth quarter of 2024,** fees and other increased by 1.5% yoy to Baht 10,166 million. This growth was primarily driven by higher wealth management fees and increased transactional fees, despite a decline in fees from bancassurance, lending-related activities and other fees.
- **Compared to 3Q24**, fees and other income increased by 1.8%, primarily due to higher wealth management fees, increased transactional fees, and other fees. This increase was partially offset by lower fees from bancassurance and lending-related activities.

Table 5. Investment and trading income

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Investment and trading income	**2,293**	**3,338**	**-31.3%**	**1,211**	**NM**	**NM**

NM denotes “not meaningful”

- **In 2024, investment and trading income** declined by 31.3% yoy to Baht 2,293 million. This decrease was mainly due to lower gains from the investment portfolio at SCB 10X and a loss on the sale of PPV recorded in 3Q24.
- **In the fourth quarter of 2024,** the Group reported investment and trading income of Baht 1,211 million, in contrast to an investment and trading loss of Baht 883 million in 4Q23. This improvement was largely due to higher gains from the investment portfolio.
- **Compared to 3Q24**, the investment and trading income of Baht 1,211 million contrasts with an investment and trading loss of Baht 324 million in 3Q24. This improvement was primarily due to higher gains from the investment portfolio at SCB 10X and the absence of a loss on the sale of PPV.

Table 6. Operating expenses

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Employee expenses	35,494	33,621	5.6%	8,928	1.1%	7.8%
Premises and equipment expenses	11,765	11,660	0.9%	2,907	-1.1%	-6.6%
Taxes and duties	5,379	4,995	7.7%	1,336	-0.5%	-3.0%
Directors' remuneration	213	175	21.3%	42	-13.0%	-32.3%
Other expenses	20,127	21,329	-5.6%	5,489	23.4%	-17.9%
Total operating expenses	**72,977**	**71,781**	**1.7%**	**18,702**	**6.2%**	**-4.2%**
Cost-to-income ratio (as reported)	**42.3%**	**42.0%**		**42.7%**		
Cost-to-income ratio (excluding the impact from Robinhood transaction)	**41.7%**	**42.0%**		**42.7%**		

- **In 2024, operating expenses** rose by 1.7% yoy, reaching Baht 72,977 million. This increase was primarily due to higher staff costs resulting from an expanded workforce to support business growth, as well as one-off expenses related to the cessation of the Robinhood application recorded in 2Q24.
- **In the fourth quarter of 2024,** operating expenses decreased by 4.2% yoy to Baht 18,702 million. This reduction was largely attributed to lower other expenses, reduced costs for premises and equipment, and the absence of operating expenses from PPV.
- **Compared to 3Q24**, operating expenses increased by 6.2%, primarily due to the seasonality in marketing and promotion expenses, which typically rise in the last quarter of the year.

For 2024, the cost-to-income ratio, excluding the impact from Robinhood transaction, remained relatively flat yoy at 41.7%, compared to 42.0% in 2023, which was well below the full-year guidance of 43-45%. This stability was primarily due to effective cost control measures. In 4Q24, the cost-to-income ratio increased to 42.7% from 41.6% in 3Q24 but decreased from 45.9% in 4Q23. The company remains committed to maintaining strong cost discipline.

Table 7. Expected credit loss (ECL)

Unit: Baht million	2024	2023	% yoy	4Q24	% qoq	% yoy
Expected credit loss	42,594	43,600	-2.3%	9,799	-10.7%	5.0%
Credit cost (bps)	176	182		162		

- **In 2024, expected credit losses** decreased to Baht 42,594 million (176 bps of total loans). This reduction was primarily driven by improved credit costs at CardX, while the Bank's ECL decreased due to additional provisions recorded in 2023 as a prudent measure. The amount not only reflected the pro-cyclicality of forward-looking Expected Credit Loss (ECL) models under the TFRS 9 framework, but also included management overlays set according to current economic uncertainties.

Balance sheet as of December 31, 2024 (Consolidated basis)

As of December 31, 2024, the Company's total assets rose by 1.4% yoy to Baht 3,487 billion, mainly due to an increase in interbank and money market items, despite a decrease in investments and a 1.0% reduction in loan growth. Details on the consolidated balance sheet are provided in the following sections:

Table 8. Loans by segment

Unit: Baht million	Dec 31, 24	Dec 31, 23	% yoy	Sep 30, 24	% qoq
Corporate	843,021	843,726	-0.1%	858,653	-1.8%
SME	403,183	413,208	-2.4%	409,993	-1.7%
Retail	972,622	995,930	-2.3%	985,145	-1.3%
Housing loans	776,796	761,724	2.0%	779,102	-0.3%
Auto loans	150,671	172,577	-12.7%	157,653	-4.4%
Unsecured loans	22,845	40,117	-43.1%	24,483	-6.7%
Other loans	22,310	21,513	3.7%	23,907	-6.7%
Loans under portfolio companies	184,552	173,698	6.2%	180,702	2.1%
CardX	99,982	115,256	-13.3%	98,728	1.3%
AutoX	52,710	33,888	55.5%	51,971	1.4%
Other portfolio companies	31,860	24,554	29.8%	30,003	6.2%
Total loans *	**2,403,378**	**2,426,563**	**-1.0%**	**2,434,493**	**-1.3%**

* Total loan excluded unamortized modification loss

Total loans decreased by 1.0% yoy and 1.3% qoq at the end of December 2024. Changes in loan volume by customer segment are as follows:

- **Corporate** loans decreased slightly by 0.1% yoy and 1.8% qoq. The decrease was primarily due to corporate loan repayments and tightening in new loan booking requirements.
- **SME** loans fell by 2.4% yoy and 1.7% qoq. The decline was primarily due to loan repayments and tightening in new loan booking requirements from both SMEs and small SMEs.
- **Retail** loans decreased 2.3% yoy and 1.3% qoq. Below are details of changes in loan volume by sub-segment.
  - **Housing loans** increased by 2.0% yoy but declined by 0.3% qoq. The yoy increase was driven by sustained demand for high-end housing developments. The Bank continues to maintain its market share for housing loans.
  - **Auto loans** fell 12.7% yoy and 4.4% qoq largely from loan repayments of new cars and used cars. The Bank have taken a cautious approach to auto hire purchase, anticipating structural changes in the industry. Consequently, the Bank have derisked and de-prioritized this portfolio.

- **Loans under portfolio companies,** including loans extended by CardX, AutoX, MONIX, ABACUS digital, and InnovestX increased by 6.2% yoy and 2.1% qoq at Baht 184,552 million.
  - **CardX loans** (personal loans and credit card receivables) decreased by 13.3% yoy but increased 1.3% qoq, amounting to Baht 99,982 million at the end of December 2024. The qoq increase was primarily due to seasonal effects, with credit card spending typically higher at year-end. The yoy decline was attributed to CardX's cautious stance on the credit environment, resulting in tightened underwriting criteria and processes for new bookings, as well as reduced exposure to the self-employed segment in the personal loan portfolio.
  - **AutoX loans** increased by 55.5% yoy and 1.4% qoq, amounting to Baht 52,710 million. This growth was driven by strong performance from both outlet and agency channels, as well as effective marketing strategies. However, AutoX loan grew at a slower pace due to a focus shift to maintain quality based on cautious view on macroeconomic environment.

Table 9. Deposits breakdown

Unit: Baht million	Dec 31, 24	Dec 31, 23	% yoy	Sep 30, 24	% qoq
Demand	123,434	131,169	-5.9%	126,973	-2.8%
Savings	1,794,781	1,820,111	-1.4%	1,760,631	1.9%
Fixed	555,411	491,580	13.0%	544,817	1.9%
Less than 6 months	81,035	75,730	7.0%	73,751	9.9%
6 months and up to 1 year	147,981	116,747	26.8%	144,483	2.4%
Over 1 year	326,395	299,103	9.1%	326,583	-0.1%
Total deposits	**2,473,626**	**2,442,860**	**1.3%**	**2,432,421**	**1.7%**
CASA - Current & Savings Accounts (%)	77.5%	79.9%		77.6%	
Gross loans to deposits ratio (Bank only)	91.5%	94.5%		94.4%	
Liquidity ratio (Bank-only)	32.5%	31.8%		30.8%	

As of December 31, 2024, total **deposits** increased by 1.3% yoy and 1.7% qoq. The yoy increase in deposits was largely from fixed deposits, resulting in a decrease in the CASA mix to 77.5% at the end of December 2024, down from 79.9% at the end of last year. The gross loans to deposits ratio (at a bank-only level) decreased to 91.5% from 94.5% at the end of December 2023.

The Bank's daily liquidity ratio of 32.5%, as measured by total liquid assets to total deposits (at a bank-only level), was well above the 20% minimum threshold.

Table 10. Investment Classification

Unit: Baht million

Investments	Dec 31, 23	Dec 31, 23	% yoy	Sep 30, 24	% qoq
Financial assets measured at FVTPL	114,352	92,534	23.6%	145,471	-21.4%
Investments in debt securities measured at amortised cost	216,820	209,930	3.3%	177,593	22.1%
Investments in debt securities measured at FVOCI	96,184	174,495	-44.9%	126,027	-23.7%
Investments in equity securities measured at FVOCI	1,833	1,737	5.5%	1,823	0.5%
Net investment *	**314,837**	**386,162**	**-18.5%**	**305,444**	**3.1%**
Investment in associates	1,842	1,970	-6.5%	1,647	11.8%
Total	**431,031**	**480,667**	**-10.3%**	**452,562**	**-4.8%**

* Net investments comprise investments measured at amortized cost and measured at FVOCI

At the end of December 2024, investments saw a yoy decrease of 10.3% and a qoq decrease of 4.8%. The yoy decline was primarily driven by reduced investments in government bonds measured at FVOCI, along with a partial decrease in foreign debt instruments measured at FVOCI. The qoq decline was mainly due to lower financial assets (government bonds) measured at FVTPL and reduced investments in government bonds measured at FVOCI.

Statutory Capital

SCBX Financial Group, is subject to the same regulations as the Bank, namely the BOT's consolidated supervision guidelines, and must maintain the same minimum capital requirements including additional buffers. The required additional buffers consist of a 2.5% conservation buffer to be held in CET1 and a 1% Domestic Systemically Important Banks (D-SIBs) buffer.

SCBX Financial Group follows prudent approach to capital management by maintaining capital well above the minimum regulatory requirements and ensuring adequate loan loss provisions. This additional cushion allows SCBX Financial Group to better handle unforeseen events and absorb any emerging risks that may arise from new businesses in the future.

Capital positions of SCBX Financial Group and the Bank at the end of December 2024 under the Basel III framework are shown in the below table.

Table 11. Total Regulatory Capital

	SCBX (Consolidated)			SCB Bank (Bank-only)		
Unit: Baht million, %	Dec 31, 24	Sep 30, 24	Dec 31, 23	Dec 31, 24	Sep 30, 24	Dec 31, 23
Statutory Capital						
Common Equity Tier 1	453,364	425,612	415,913	374,445	375,190	361,170
Tier 1 capital	427,000	427,588	417,536	374,445	375,190	361,170
Tier 2 capital	26,364	26,580	26,144	23,752	23,948	23,499
Total capital	**453,365**	**454,168**	**443,680**	**398,196**	**399,138**	**384,669**
Risk-weighted assets	2,396,562	2,396,479	2,358,515	2,154,228	2,171,158	2,135,900
Capital Adequacy Ratio	**18.9%**	**19.0%**	**18.8%**	**18.5%**	**18.4%**	**18.0%**
Common Equity Tier 1	17.7%	17.8%	17.6%	17.4%	17.3%	16.9%
Tier 1 capital	17.8%	17.9%	17.7%	17.4%	17.3%	16.9%
Tier 2 capital	1.1%	1.1%	1.1%	1.1%	1.1%	1.1%

Consolidated common equity Tier 1 capital of SCBX Financial Group increased yoy to 17.7% at the end of December 2024 mainly from appropriation of net profit after dividend payment. On the Bank-only basis, common equity Tier 1/Tier 1 capital increased yoy to 17.4%. The dividend payment from SCB Bank to SCBX for funding purposes is considered an intra-group transaction and thus will only affect the capital position of the Bank but not of SCBX.

Asset Quality

At the end of December 2024, **non-performing loans** on a consolidated basis increased by 0.8% yoy and 3.2% qoq, reaching Baht 97.6 billion. The Bank's NPLs rose qoq primarily due to the retail segment, particularly housing loans, corporate segment and the SSME segment, while NPLs for CardX showed improvement qoq. The **NPL ratio** remained relatively stable at 3.37%, compared to 3.44% at the end of December 2023.

At the end of December 2024, the Group's **coverage ratio** decreased to 158.0%, down 5.9% qoq largely from an increase of NPLs and lower allowance ECL. The Group's total loan loss reserve as a percentage of total loans (LLR %) remained strong at 6.2%.

Table 12. Asset quality

Unit: Baht million, %	Dec 31, 24	Sep 30, 24	Dec 31, 23
SCBX (Consolidated)			
Non-Performing Loans (NPLs)	97,610	94,586	96,832
NPL ratio	3.37%	3.38%	3.44%
Total allowance*	154,245	155,044	154,839
Total allowance to NPLs (Coverage ratio)	158.0%	163.9%	159.9%
Credit cost (Quarterly, bps)	162	180	153
SCB Bank (Bank-only)			
Non-Performing Loans (NPLs)	90,101	86,284	88,544
NPL ratio	3.26%	3.24%	3.27%

* Total allowance includes loans, interbank and loan commitments, and financial guarantee contracts.

Loan Classification and Allowance for Expected Credit Losses

Under TFRS 9, loans are classified into 3 stages based on changes in credit quality since initial recognition. Loans and allowance for expected credit losses at the end of December 2024, September 2024 and December 2023 were classified as follows:

Table 13. Loans and allowances for expected credit losses by stages

Unit: Baht million	Dec 31, 24		Sep 30, 24		Dec 31, 23	
	Loans and interbank	ECL*	Loans and interbank	ECL*	Loans and interbank	ECL*
Stage 1 (Performing)	2,571,361	28,547	2,485,755	30,656	2,545,602	39,435
Stage 2 (Underperforming)	224,150	70,151	215,258	69,822	175,072	56,363
Stage 3 (Non-performing)	97,610	55,547	94,586	54,566	96,832	59,041
Total	**2,893,121**	**154,245**	**2,795,599**	**155,044**	**2,817,507**	**154,839**

* Including ECL for loans, interbank and loan commitments, and financial guarantee contracts.

Sources and Uses of Funds

As of December 31, 2024, deposits accounted for 70.9% of SCBX's funding base. Other major sources of funds were: 14.2% from shareholders' equity, 6.6% from interbank borrowings, and 3.1% from debt issuance. Uses of funds for this same period were: 68.9% for loans, 15.9% for interbank and money market lending, 12.4% for investments in securities, and 1.3% held in cash.

Segment Performance

2024 Operational Performance

Unit: Baht billion	Total operating income	% portion	Cost income ratio (excl. the impact from Robinhood transaction)	Credit cost	Net profit (loss)	% portion	Total loans
Gen 1 - Banking Services*	143.9	81%	39%	1.2%	49.2	104%	2,272
Gen 2 - Consumer & Digital Financial Services*	29.0	16%	44%	9.0%	0.8	2%	172
Gen 3 - Platforms & Technology*	5.3	3%	129%	-	(2.8)	-6%	3
Inter Transaction and others	(5.8)		-	-	(3.3)		(44)
Total	**172.4**		42%	1.76%	**43.9**		**2,403**

* Before deducting intercompany transactions

Gen 1 - Banking Business

2024 Performance

- **Net interest income** in 2024 increased by 0.7% yoy to Baht 104.6 billion, driven by NIM expansion (+11 bps) despite a 2.1% yoy decrease in loan volume.
- **Non-interest income** decreased by 0.6% yoy to Baht 39.2 billion. This decline was primarily due to lower fees from bancassurance and lending-related activities, which were partly offset by higher wealth management fees, higher transactional fees and increased investment and trading income.
- **Total operating income** stood at Baht 143.9 billion mainly driven by a robust NII from NIM expansion.
- **OPEX** decreased slightly by 0.9% yoy to Baht 55.4 billion due to stringent cost control measures. The Bank remains committed to maintaining a key focus on cost discipline, resulting in a cost-to-income ratio of 38.5% in 2024.
- **Net profit** in 2024 was Baht 49.2 billion, an increase of 2.7% yoy, corresponding to an ROE of 11.4%.
- **Loans** decreased by 2.1% yoy, primarily due to declines in the retail and SME segments. The Bank continued to focus on quality growth, aiming to optimize returns within its risk tolerance.
- **The NPL ratio** remained relatively stable at 3.28% at the end of December 2024, compared to 3.26% in 3Q24 and 3.29% at the end of 2023. In absolute terms, non-performing loans increased by 4.2% qoq to Baht 90.7 billion in 4Q24. This rise in NPLs was mainly from the retail segment, especially housing loans, corporate segment and the SSME segment. As of the end of December 2024, the Bank maintained a high coverage ratio of 152%.

Gen 2 – Consumer & Digital Financial Business

2024 Performance

- Total operating income increased by 5% yoy, reaching Baht 29.0 billion, constituting 16% of the total Group operating income. Revenue from Gen 2 primarily stemmed from higher-yield interest income, which was predominantly derived from unsecured personal loans, auto title loans, and digital loans.
- OPEX increased 13% yoy to Baht 12.9 billion primarily to support the business growth in Gen 2. Meanwhile, cost-to-income ratio stood at 44%. Despite the increase, the company under Gen 2 continues to control costs effectively.
- Credit costs for Gen 2 improved to 9.0% in 2024, down from 10.4% in 2023, largely due to enhancements at CardX. We anticipate further improvements in absolute credit costs at CardX moving forward.
- Gen 2 companies reported a net profit of Baht 0.8 billion in 2024 primarily due to higher net interest income and lower expected credit losses.
- Total loans for Gen 2 increased by 5% yoy to Baht 172 billion, driven primarily by the expansion of AutoX and digital loans by MONIX, partially offset by a decline in CardX due to the selective approach in new lending.
- NPLs in Gen 2 decreased yoy in absolute terms in 2024, primarily driven by an improvement at CardX despite an increase at AutoX and digital loans amid a slower economic recovery.

Gen 3 – Platforms & Technology Business

2024 Performance

- Total operating income was Baht 5.3 billion, mostly contributed by fee income despite a loss on investment from SCB 10X. Total operating profit accounted for 3% of the Group's total operating income.
- OPEX increased yoy primarily due to a one-off expense from the closure of the Robinhood App recorded in 2024. The cost-income ratio, excluding the impact from Robinhood transaction, for Gen 3 remained at a high level of 129% in 2024.
- In 2024, Gen 3 companies reported a net loss of Baht 2.8 billion, primarily driven by a one-off expense related to the Robinhood App closure in 2Q24, a loss on investment and lower fee income.

Credit Ratings

Credit Ratings of SCB X Public Company Limited	December 31, 2024
Moody's Investors Service	
Issuer Rating (Local and Foreign Currency)	Baa2
Outlook	Stable
Fitch Ratings	
Long Term Issuer Default Rating	BBB
Short Term Issuer Default Rating	F3
Outlook	Stable
Viability Rating	bbb
Government Support Rating	bbb-
Senior Unsecured (National Long-Term Rating)	AA+(tha)
Senior Unsecured (National Short-Term Rating)	F1+(tha)

Additional Financial Information

Unit: Baht million, %	Dec 31, 24	Dec 31, 23	% yoy	Sep 30, 24	% qoq
Total loans	**2,403,378**	**2,426,563**	-1.0%	**2,434,493**	-1.3%
Add Accrued interest receivables and undue interest receivables	24,867	23,467	6.0%	24,176	2.9%
Total loans and accrued interest receivables and undue interest receivables	**2,428,246**	**2,450,030**	**-0.9%**	**2,458,669**	-1.2%
Less Unamortised modification losses	(906)	990.	NM	(668)	NM
Less Allowance for expected credit loss	148,549	147,995	0.4%	150,330	-1.2%
Total loans and accrued interest receivables, net	**2,280,603**	**2,301,044**	**-0.9%**	**2,309,007**	-1.2%
Loans by Sector	**2,403,378**	**2,426,563**	**-1.0%**	**2,434,493**	**-1.3%**
Agricultural and mining	7,607	9,565	-20.5%	8,223	-7.5%
Manufacturing and commercial	666,866	657,147	1.5%	670,521	-0.5%
Real estate and construction	188,880	175,807	7.4%	192,804	-2.0%
Utilities and services	394,601	422,263	-6.6%	407,526	-3.2%
Housing loans [1/]	625,710	616,898	1.4%	626,585	-0.1%
Other loans	519,714	544,883	-4.6%	528,834	-1.7%
Debt issued and borrowings	**106,745**	**109,911**	**-2.9%**	**109,431**	**-2.5%**
Debentures	100,543	84,215	19.4%	99,645	0.9%
Structured notes	6,397	26,352	-75.7%	9,726	-34.2%
Others	404	17	2276.5%	406	-0.5%
Hedge accounting adjustment	(599)	(673)	NM	(346)	NM

Additional Financial Information (continued)

	4Q24	3Q24	4Q23	2024	2023
Share Information					
EPS (Baht)	3.48	3.25	3.27	13.05	12.93
BVPS (Baht)	145.12	141.87	141.99	145.12	141.99
Closing price (Baht)	117.50	109.00	106.00	117.50	106.00
Shares outstanding (Million shares)	3,367	3,367	3,367	3,367	3,367
Market capitalization (Baht billion)	395.6	367.0	356.9	395.6	356.9
Yield on loans by segment					
Yield on loans	**6.21%**	**6.21%**	**6.21%**	**6.18%**	**5.95%**
Corporate	4.89%	5.03%	4.96%	4.92%	4.45%
SME	7.42%	7.51%	7.46%	7.52%	7.35%
Retail	5.13%	5.12%	5.23%	5.14%	5.20%
Housing loans	4.87%	4.82%	4.81%	4.82%	4.73%
Auto loans	5.73%	5.69%	5.61%	5.70%	5.58%
CardX	13.22%	13.61%	15.14%	13.15%	14.93%
AutoX [2/]	19.9%	19.9%	20.0%	20.0%	20.1%
NPL ratio by segment/product					
Corporate	1.9%	1.7%	2.1%	1.9%	2.1%
SME	10.7%	10.4%	10.8%	10.7%	10.8%
Retail	3.3%	3.0%	2.7%	3.3%	2.7%
Housing loans	3.4%	3.1%	2.7%	3.4%	2.7%
Auto loans	2.9%	2.8%	2.7%	2.9%	2.7%
CardX	4.9%	5.5%	5.6%	4.9%	5.6%
AutoX	1.4%	1.7%	0.8%	1.4%	0.8%
New NPLs by segment and by product (Bank-only)					
Total loans	**0.63%**	**0.56%**	**0.69%**	**2.34%**	**2.24%**
Corporate	0.18%	0.07%	0.05%	0.39%	0.24%
SME	1.41%	0.99%	1.71%	4.43%	3.95%
Housing loans	0.83%	0.73%	0.71%	3.12%	2.57%
Auto loans	1.70%	2.05%	2.33%	8.75%	9.43%
New NPLs (Baht billion)	**17.1**	**14.7**	**18.2**	**63.4**	**59.2**
NPL reduction methodology					
NPL sales (Baht billion)	3.0	3.7	2.4	10.0	12.4
Write off (Baht billion)	8.8	7.8	13.9	38.7	33.6

[1/] Classified by sector/product and excludes retail loans where customers use their home as collateral. (These loans are classified under "Other loans" in accordance with regulatory guidelines). Elsewhere in this report, all housing loans are aggregated under mortgage loans and the balance of these loans at the end of December 31, 2024, September 30, 2024, and December 31, 2023, was Baht 777 billion, Baht 779 billion, and Baht 762 billion, respectively.

[2/] Calculated based on daily average data

NM denotes “not meaningful”

Additional Financial Information (continued)

SCB's interest rates and BOT's policy rate

SCB Interest Rates	Oct 4, 22	Dec 7, 22	Jan 3, 23	Jan 30, 23	Apr 7, 23	Jun 9, 23	Oct 3, 23	Nov 1, 24	Nov 29, 24
Lending rate (%)									
MLR	5.50	5.75	6.15	6.35	6.60	6.80	7.050	6.925	6.925
MOR	6.095	6.345	6.745	6.895	7.145	7.325	7.575	7.325	7.325
MRR	5.995	6.12	6.52	6.62	6.87	7.05	7.30	7.175	7.175
Deposit rate* (%)									
Savings rate	0.25	0.25	0.25	0.25	0.25	0.30	0.30	0.30	0.25
3-month deposits	0.47	0.62	0.62	0.77	0.82	0.92	1.10	1.10	1.00
6-month deposits	0.55	0.70	0.70	0.85	0.95	1.05	1.25	1.25	1.10
12-month deposits	0.70	1.00	1.00	1.15	1.35	1.45	1.70	1.70	1.50

* Excluding special campaigns, which generally offer significantly higher rates but have different terms and conditions for 3, 6, and 12 month term deposits.

	Aug 10, 22	Sep 28, 22	Nov 30, 22	Jan 25, 23	Mar 29, 23	May 31, 23	Aug 2, 23	Sep 27, 23	Oct 16, 24
Policy rate (%)	0.75	1.00	1.25	1.50	1.75	2.00	2.25	2.50	2.25

SCBX's interest expenses

SCBX
(Separate financial statements)

Unit: Baht million	2024	2023	4Q24	3Q24	2Q24	1Q24
Interest expenses						
Interbank and money market items	2,577	2,430	536	569	700	772
Other debentures	2,227	831	664	670	499	394
Total	**4,804**	**3,261**	**1,200**	**1,239**	**1,199**	**1,166**

4. SCBX and Sustainability

Progress Towards Delivering on SCBX Group Sustainability Commitments

SCBX promotes and supports group-wide sustainability performance according to the Group Sustainability Framework comprising four pillars - Planting Digital Seeds, Enriching Lives, Growing Economic Resilience and Achieving Climate Neutrality – as guided by the sustainability mission of 'Opportunities for Everyone, Possibilities Everyday'.

In the fourth quarter of 2024, key performance includes:

Planting Digital Seeds

- **ABACUS Digital:** ABACUS Digital achieved several milestones this quarter, including receiving the Prime Minister's Export Award 2024 for Best Design. The company also launched innovative solutions such as "ABACUS check", an AI tool for bank statement analysis, and Money Thunder's "Debt Solution Chatbot", aimed at helping Thais escape informal debt. Company executives and staff actively participated as speakers at notable events, including the Bank of Thailand "Your Data" Launch Event and The Standard Economic Forum 2024, where they shared insights and thought leadership on transforming data for better loan access and overcoming household debt cycles
- **SCB 10X:** SCB 10X and Together AI launched Typhoon API Pro, a production-ready API service powered by Together AI's advanced serverless infrastructure, offering flexible per-token pricing and enterprise-grade reliability. SCB 10X also unveiled Thailand's first Purpose-Bound Money Initiative under the guidance of the Bank of Thailand and the SEC's Regulatory Sandbox, enabling seamless, regulated USD Stablecoin-to-THBX conversions for foreign visitors in Bangkok. Additionally, SCB 10X presented the study "CrossCheck GPT: Universal Hallucination Ranking for Multimodal Foundation Models" at the NeurIPS Workshop, a collaborative effort with the University of Cambridge, SCBX, and Tsinghua University. Representatives from SCB 10X participated in key discussions, including a panel at the Open AGI Summit Bangkok on the "Agentic Economy" and a roundtable at The Chaos Summit 2024 on addressing the internet's greatest challenges.
- **InnovestX:** Launched an AI-powered Digital RM solution designed to address a significant gap for individual investors, who constitute over 90% of their customer base and often lack personal investment advisors. This AI solution acts as a co-pilot to Investment Consultant Agents, enhancing access to tailored investment guidance with increased speed and accuracy, enabling agents to respond up to ten times faster.
- **DataX:** Launched several value-added services, including analytics projects and products under the Group Data Zone (GDZ), which involve working with subsidiaries to develop custom project requirements and solutions for group-wide analytics products.

For example: CardX project lead generation from utilizing group data, SCB wealth customer identification utilizes machine learning model, AutoX voice-based market conduct compliance validator, InnovestX AI assisted chatbot for customer service and SCBX regulations and monitoring alert. The Data & AI Centre of Excellence (COE) provides a one-stop service for data policy and AI capability building, enhancing data governance and accessibility. The total investment in digital solutions and security for 4Q24 was Baht 91.8 million, with a year-to-date total of Baht 120.7 million.

- DataX's efforts have been recognized with “AI Pioneer 2024” at the LinkedIn Talent Awards for their application of AI skills. DataX CEO represented DataX at the Techsauce Global Summit 2024, discussing AI-led organizational culture.
- DataX received the Thailand Technology Excellence Awards 2024 for their Project AI-Insight, which enhances AI literacy and innovation. They published research on the Birbal model at the DMLR Workshop and participated in SemEval-2024, achieving high numerical accuracy. Their study on ESG impact prediction ranked second in the French track at FinNLP.
- To further AI literacy among Thai citizens, DataX launched a free online course. They were also honored with the "Most Innovative New Data Infrastructure and AI Solutions Provider – FinTech, Thailand" award, recognizing their excellence in data analytics and AI.

Enriching Lives

- **SCB 10X:** Participated in a roundtable discussion at the Insights Forum 2024, sharing valuable insights on Generative AI in Financial Services: Pathways to Value and Industry Collaboration. The event convened regulators, policymakers, industry leaders, and investors to explore the future of AI in the financial sector. Additionally, the representative took part in a panel discussion on 'Future Horizons: Navigating the Global Investment Landscape of 2025' at the Corporate Innovation Summit 2024.
- **InnovestX:** Hosted the Thai Stock Special Webinar Series, designed to help participants navigate and capitalize on emerging opportunities in the recovering Thai stock market, which attract 2,000 participants. InnovestX also conducted Tax Talk, a series of LIVE broadcasts on social media aimed at raising awareness about investing in tax-deductible funds to promote saving discipline and reduce tax burdens, garnering over 370,000 views. Additionally, they organized the Offshore Trader Camp, a webinar focused on equipping individuals with essential knowledge, advanced strategies, and professional trading techniques for the global stock market, which also included a foreign stock trading competition, drawing 2,000 participants.

Growing Economic Resilience

- **SCB**: Achieved a total of Baht 143,766 million in sustainable financing (accumulated from 2023-2024) by the end of 2024, marking significant progress towards the ambitious goal of Baht 150,000 million set for the 2023-2025 period.
- **SCB**: Designed SCB Sustainable Deposit as an innovative financial product specifically to fund sustainability projects. By investing in the SCB Sustainable Deposit, companies become catalysts for meaningful change, contributing to Thailand's transition towards Net Zero and its long-term sustainability.

Reaching Climate Neutrality

- **SCBX:** SCBX announces that its ambitious near-term science-based greenhouse gas (GHG) emissions reduction targets have been officially validated by the Science Based Targets initiative (SBTi). SCBX is the first financial institution in Thailand to receive this validation, underlining its unwavering commitment to sustainability and climate action. This milestone builds on SCBX's commitment made in 2022 to reduce 90% of direct and indirect emissions in its own operations by 2030, laying the foundation for achieving net zero emissions across both operations and portfolio by 2050. For More info, see the press release.
- **Alpha X:** Successfully implemented the Oracle system, which has streamlined operations, organized data efficiently, saved energy, and reduced paper usage. Alpha X collaborated with partners on carbon credits, carbon footprints, and climate projects to expand and offer comprehensive solutions to clients.